

CLIENT FINANCING

AUDIT PROGRAM #11-20-00

The release of this audit program to parties external to IBM requires the written approval of the Chief Auditor.

This program is intended as a guide for assessing risk management in this process through the performance of an audit or a similar engagement. Risk management is the process to identify, manage, and control potential events in order to provide reasonable assurance related to the achievement of IBM's business and control objectives. IBM's control objectives fall into five broad categories:

1. compliance with external laws and regulations, as well as IBM policies and procedures
2. accomplishment of business objectives
3. reliable information for financial reporting and decision making
4. efficient operations, and
5. safeguarding both intellectual and physical assets.

The control assessment questions are intended to address process objectives from the categories above and the risks to achieving those objectives. Objectives and risks in the actual process under review may differ based on organizational, operational, regulatory, and economic factors. As such, individuals performing the engagement must formulate a test strategy based on risks relative to the actual process under review, regardless of whether the risks are identified within this program.

DATE CHANGED	SECTION #	SUBTITLE IN SECTION	CHANGED BY (NAME)	COMMENTS
September 2025	Planning	Audit Program Risk Alignment	CA&AS Ops	Changes to audit risk levels from recent revalidation
February 2025	Control Assessment Questions	6. Revenue and Cost Recognition	Guillermo Gonzalez	Include process to follow in case Accts Rec will be part of the audit. Testing is also included under Contract Administration (CA004.P).
February 2023	All	All	CA&AS	Converted from Notes into a Word document and into a Box folder

CLIENT FINANCING AUDIT PROGRAM #11-20-00

Table of Contents

PROCESS AND OBJECTIVE	4
PLANNING: Audit Program Risk Alignment.....	5
PLANNING: Data Analysis.....	6
PLANNING: Reference Material	8
PLANNING: Fraud Template.....	9
CONTROL ASSESSMENT QUESTIONS	10
Key Control Question: 1. Pricing Quote and Contract Creation	10
Primary Test: Pricing Quote (PC001.P).....	11
Primary Test: Contract Creation (PC002.P)	12
Key Control Question: 2. Contract Administration	13
Primary Test: Contract Administration (CA001.P)	14
Primary Test: Critical Conditions (CA002.P)	15
Primary Test: Business Partner Monitoring (CA003.P)	16
Primary Test: Capital Markets - Administration (CA004.P).....	17
Key Control Question: 3. Billing	19
Primary Test: Billing Performance (BI001.P).....	20
Secondary Test: Manual Invoices and Credit Notes (BI002.S)	21
Secondary Test: Billing Completeness (BI003.S)	22
Primary Test: Inter-company Billing (BI004.P)	23
Key Control Question: 4. Supplier Payments	24
Primary Test: Supplier Payments (SP001.P).....	25
Primary Test: Supplier Verification (SP002.P)	26
Key Control Question: 5. Early End of Leases and End of Leases.....	27
Primary Test: Early End of Leases and End of Leases (EO001.P).....	28
Key Control Question: 6. Revenue and Cost Recognition (THIS TEST IS CANDIDATE TO BE DELETED, AS REVENUE RECOGNITION SHOULD BE TESTED IN A CRM AUDIT)	30
Primary Test: Client Financing Revenue Recognition (CR001.P).....	31
Primary Test: Client Financing Revenue and Cost Accruals (CR002.P)	33
Primary Test: Measurements (CR003.P)	34
Key Control Question: 7. Regulatory Compliance and Taxes.....	35
Primary Test: Regulatory Compliance (RT001.P)	36
Primary Test: Accounting and Statutory Compliance (RT002.P).....	37
Secondary Test: Taxes (RT003.S).....	38
Key Control Question: 8. Return on Investment.....	39

CLIENT FINANCING

AUDIT PROGRAM #11-20-00

Primary Test: Return on Investment (RI001.P)	40
Key Control Question: 9. Volumes	41
Primary Test: Volumes (VO001.P)	42
Key Control Question: 10. Application Management and Separation of Duties	43
Primary Test: Application Management and Separation of Duties (AS001.P)	44
Key Control Question: 11. Business Continuity Planning	45
Secondary Test: Business Continuity Plan (BC001.S)	46

CLIENT FINANCING

AUDIT PROGRAM #11-20-00

PROCESS AND OBJECTIVE

Client financing is the process associated with providing term lease agreements for goods and services to customers requesting IBM financing. Components of the agreements must be separately identified and classified as either leases or loans. Classification as a lease applies to hardware for which IGF retains title. Installment payment agreements and agreements relating to the financing of software, maintenance and termination charges are classified and accounted for as loans. Leases are further classified as either capital or operating leases. Lease classification as either capital or operating is determined by conducting tests established by accounting standards.

The client financing process begins when a proposal is created for the customer and concludes when the terms and conditions of the agreement have been satisfied or the agreement is terminated. There can be "mid-term" activities such as extensions and upgrades, and "end-of-initial lease" options, for example, renewals, continuations, purchase or conclude (return). In addition, there can also be "retail lease (or Sales and Lease Back, SLB) " activity which is a new lease for used equipment. The process includes the preparation of a contract for the customer, credit approval, acceptance of the contract by both the customer and IBM, classification, and accounting for the lease agreement, start of the agreement, billing, collection of accounts receivable, the exercising of any "mid-term" options, and compliance with all the terms and conditions of the contract.

The client financing program does not include commercial financing or returned inventory management. If the audit needs to test the effectiveness of controls on any Accounts Receivable risk, then the ATL will have to refer to the IGF A/R audit program and select from there the respective testing, on a limited basis. The commercial financing (dealer financing) audit program is 11-10-00. The Client Financing Accounts Receivable audit program is 11-30-00. The returned inventory management program is 55-10-00. All three programs should be used when the Financing process is being rated in a geography, if previously discussed and agreed with management.

Starting 1Q 2017, separate financing legal entities under IBM Credit LLC ("IBM Credit") were set up in each country in which IGF operates, specifically for client and commercial financing activities. In addition, IBM Credit has begun separate financial reporting, including 10-Q and 10-K filings, whilst its financial results will continue to roll up into IBM financial statements. New processes were implemented to facilitate the inter-company agreements, inter-company billings, and services provided between IBM and IBM Credit. Also, existing processes were modified to reflect to the operational changes.

Please note that only Client Financing and Commercial Financing activities are run by IBM Credit*, while GARS remained with IBM. GARS process begins and CF process ends only when the asset is transferred to GARS (from an End of Lease perspective).

In May 2017, the IGF Accounts Receivable mission was announced to be transferred from Sales Transaction Support (STS) to IGF. The responsibilities transferred were for IGF Client Financing cash collections, cash administration, invoicing, dispute management and related accounts receivable activities over a nine-month transition period. This move enables IGF to enhance its end-to-end responsibility for client financing and follows on from the recent 'Trek' and external business results reporting initiatives. While the effectivity of the transfer was June 1, 2017, the transition happened in phases. Please reach out to the IGF Audit Focal Point to consult on scoping and test approach considering these changes.

*NOTE: Taiwan, Macau, Argentina, Ecuador, Uruguay not in IBM Credit LLC.

CLIENT FINANCING AUDIT PROGRAM #11-20-00

PLANNING: Audit Program Risk Alignment

Client Financing

Defined Risk Area	Audit Risk Level	Key Control Question	Test Number
Create Pricing Quote	High	Pricing Quote and Contract Creation, Return on Investment	All
Contract Administration	High	Contract Administration, Revenue and Cost Recognition, Regulatory Compliance and Taxes, Return on Investment, Volumes	All
Lease Classification	Medium	Regulatory Compliance and Taxes	All
Billing	Medium	Billing, Revenue and Cost Recognition	All
Create Contract Package	Medium	Pricing Quote and Contract Creation	All
Supplier Management and Payments	Low	Supplier Payments	All
Administer Mid-Lease and End-of-Lease Activity	Low	Contract Administration, Early End of Leases and End of Leases	All

CLIENT FINANCING AUDIT PROGRAM #11-20-00

PLANNING: Data Analysis

Data analysis should be a part of every engagement where data is available in databases or data warehouses that can be accessed through query programs. This concept enhances the risk-based auditing approach, makes the audit process more efficient, and increases the productivity of the audit team. When the audit team does not have the skills required to perform these tasks, assistance should be sought from the Technology team.

All data used for analysis must be reconciled to an independent source so that the auditor has confidence that the universe is complete.

The [Data Analysis engagement procedures in the Audit Manual](#) (link internal to CA&AS members only) provide further suggestions.

This table shows what data can be reviewed and analysis techniques.

Data to be Analyzed	Analysis to be Performed	Possible Anomalies	Concern
Lease classification overrides (7D test)	Obtain a listing of all contracts incepted during the audit period and the classification of lease was overridden by Accounting. Assess if the list raises a concern in terms of the volume of contracts that had to be overridden.	Incorrect lease classification	Incorrect revenue recognition Incorrect asset classification
Contract reviewed by Accounting, Contracts with non-standard terms and conditions and contracts with standard terms and conditions but are above the clip level requirements of Accounting	- Obtain a listing of all contracts incepted during the audit period both for standard and non-standard including a data/column on Total Amount Financed. - Request for a listing of all contracts submitted to Accounting for Contract Review. - Request for a listing of all contracts reviewed by Accounting. Compare the three universes in terms of completeness depending on the clip levels defined by Accounting for contracts that require Accounting review.	Lease classification inaccuracies	Incorrect revenue recognition Incorrect asset classification

CLIENT FINANCING AUDIT PROGRAM #11-20-00

PLANNING: Data Analysis (Continued)

Data to be Analyzed	Analysis to be Performed	Possible Anomalies	Concern
Manual ledger entries to revenue and cost	Manual journal entries to revenue and cost accounts, including accruals and provisions	Ledger entries not correctly recorded	Incorrect reporting of revenue and cost
Credit notes and billing adjustments	Volumes and amount by reason code	Processing issues - billing accuracy Solution design - contract terms and conditions not clear or side letters	Incorrect revenue recognition Accuracy of recording transactions Unapproved or incomplete contract terms
Volumes	Review adjustments to volumes	Incorrect recording of volumes	Inaccurate reporting of volumes by financial period
Business partner monitoring	Review data extracted to monitor financed product and solutions that was sourced from business partners.	Fraudulent transactions	Financial loss due to non-payment of lease.
End of Lease	From the universe of End of Lease, determine the assets with a customer EOL decision, assets without a customer EOL decision. Determine the age of the open items and assess if there are areas of concern. (Example: Overdue returns)	End of Lease execution issues	Lost revenue and incorrect financial statements.
Inventory to be returned	Review aged, leased equipment to be returned to IBM, both from end of lease and mid-term termination of lease.	Leased equipment not returned to IBM on a timely basis	Financial loss by not maximizing revenue from leased equipment at end of lease
Repositories	Request Business Intelligence and Analytics team to perform a scan of the repositories.	Open repositories with exposed IBM confidential information.	Data exposure

CLIENT FINANCING AUDIT PROGRAM #11-20-00

PLANNING: Reference Material

Accounting Practices

Accounting Practices can be found at the following web site: <https://w3-03.ibm.com/finance/finsubp.nsf/WebPages/N01FF02WWAAP>

AP09 Revenue Composition, Recognition and Recording

AP12 Accounting for Leases - IBM as Lessor

Corporate Instructions and Guidelines

Corporate Instructions can be found at the following web site: <http://w3-03.ibm.com/ibm/documents/corpdocweb.nsf/ContentDocsByTitle/Corporate+Directives>

CIO104 Information Technology Security

CIO122 IBM Worldwide Records Management

CIO129 Business Transformation Management System

FIN151 Application Systems Control and Auditability (ASCA)

FIN166 Risk evaluation - Corporate Directive Deviation

FIN182 Separation of Duties

LEG116 Classification and Control of IBM Information

Business Continuity Planning Corporate Guidelines - [BPBC127 Guideline for Business Process - Area Business Continuity Planning](#)

Websites

IBM Global Finance/Client Financing

[https://w3-](https://w3-03.ibm.com/sales/support/ShowDoc.wss?docid=SGDH255466R81254B35&node=brands,B2000|brands,B2Q00|clientset,IA|channel,DR|channel,ICOM&appname=CC_SSIGD)

[03.ibm.com/sales/support/ShowDoc.wss?docid=SGDH255466R81254B35&node=brands,B2000|brands,B2Q00|clientset,IA|channel,DR|channel,ICOM&appname=CC_SSIGD](https://w3-03.ibm.com/sales/support/ShowDoc.wss?docid=SGDH255466R81254B35&node=brands,B2000|brands,B2Q00|clientset,IA|channel,DR|channel,ICOM&appname=CC_SSIGD)

IBM Finance/Accounting

[Accounting Practices](#)

Credit Process Area

End of Lease-Global Process Handbook - <https://w3.ibm.com/w3publisher/global-bso-page/policies-guidance/end-of-lease>

<https://ibm.ent.box.com/s/elq4uu1sid68ojo17a2o4jjvys92plq5>

IGF Global Policies and Guidelines - <https://w3.ibm.com/w3publisher/igf-global-policies-guidelines/igf-global-policies-guidelines>

CLIENT FINANCING AUDIT PROGRAM #11-20-00

PLANNING: Fraud Template

Fraud is any intentional act or omission designed to deceive others and resulting in the victim suffering a loss and/or the perpetrator achieving a gain. Fraud can be categorized into fraudulent financial reporting, misappropriation of assets, and improper or unauthorized expenditures.

Description of Fraud Risk	Probability of Occurrence	Typical Controls that should Detect the Fraud Risk	Testing Approach
Fraud: unauthorized commitment, side letter to waive or defer payments, waive credit conditions, make end of lease commitments not authorized, permit non-standard terms and conditions, forge or modify documents. Motivation can be to close the deal with client.	Varies by country; based on investigation inputs can be considered high in emerging markets (GMU)	1. Solution design approvals 2. Contract registration process 3. Billings and accounts receivable 4. End of lease	Validate pricing, deal review, credit approvals including complying with approval conditions. Test business approval, Legal and Accounting review of non-standard Ts & Cs. Test deals with contract not generated on standard IGF contract systems
Fraud: Financing fictitious clients, assets, assets not backed by intrinsic value or inflated assets, or assets not accepted by clients	Varies by country; clients link financing payments to performance, large / growing services financing portfolio	1. Customer and business partner validations 2. Supplier's invoice 3. Certificate of acceptance of client's receipt of the goods	Test credit approval and compliance to Ts and Cs. Test BP approval, validation of payment to suppliers, BP sourced deals, lease inception (certificate of acceptance), test sale and lease back transactions and fair market value assessment by GARS prior to
Fraud: misrepresentation of financial strength	High in emerging markets due to limited availability of quality external credit and financial information	1. Customer and business partner validations 2. Credit and payment history 3. Audited financial statements	Test credit approval and compliance to Ts and Cs. Test aged / delinquent AR, write offs, special handling cases for look back for root cause existence at deal origination. Test Credit and deal review approvals for OEM and unsecured financing.

Note: The probability and impact will vary depending on the organization/business unit that is being audited.

CLIENT FINANCING AUDIT PROGRAM #11-20-00

CONTROL ASSESSMENT QUESTIONS

Key Control Question: 1. Pricing Quote and Contract Creation

Objective:

Were all of the required approvals obtained prior to the release to customer of pricing quotes or non-standard contract terms and conditions? In addition, for product and solutions that were sourced through a business partner, was the business partner approved?

Risk/Exposure:

Pricing quotes and non-standard contract terms and conditions issued without the required reviews and approvals, and/or client financing transactions with business partners that are not approved, may result in financial loss and/or financial misstatement.

CLIENT FINANCING

AUDIT PROGRAM #11-20-00

CONTROL ASSESSMENT QUESTIONS

Key Control Question: 1. Pricing Quote and Contract Creation

Primary Test: Pricing Quote (PC001.P)

Objective:

Determine that the required approvals were obtained prior to the release to customer of pricing quotes. Specifically, determine if pricing is based upon pricing delegations, authorized offerings, justified rate buy down, and valid pricing parameters tables.

Approach:

Determine the process used to input pricing into contracts. Review the process by which pricing tables are updated and how access to these tables is controlled. Select a sample of contracts with a focus on high or low yields. Determine if there are any unexplained high or low yields based on the following exception test attributes as applicable:

- Is the contract price based on pricing delegations, authorized offerings, justified rate buy down, valid pricing parameters (cost of debt and rate protection, credit and expense adders), and pricing residual values?
- Was the rate buy down supported with a valid legal document between IBM and IBM Credit?
Note: For Rate Buy Down (RBD) process, the Finance team will run a query monthly to determine and provide 'RBD', 'Discount' and 'Participation' values that are to be billed to IBM. These are three distinct charges all based on the assignment indicators in portfolio. The billing will be performed by BSO team with the information extracted by Finance.
- Were exceptions to the pricing tables properly approved?
- Was there sufficient credit approved and were the lease rates charged commensurate with the evaluation of the credit risk? Was there a differentiated credit spread factored into the pricing methodology based upon the Global Pricing requirements, when applicable?
- Did pricing in the contract match pricing in the proposal?
- Were deferrals, payments holiday, and step payments correctly calculated?
- Were special bids priced independently from sales representatives? If not, is there a documented delegation/control process to handle potential conflicts of interest?
- Was pricing properly created and approved for mid-lease transactions that required pricing?
- Were all the required pricing approvals and credit approvals obtained prior to contract release?
- For countries/Markets with Open Infrastructure Offerings (OIO) where IGF is responsible to coordinate and consolidate the pricing approvals of all other business units prior to contract release (for deal components financed), was there a validation of the completeness of pricing approvals?
- For complex transaction including OIO or ELA, was the internal operation supported and governed by a valid participation agreement between IBM and IBM Credit? There should be a MPA (Master Participation Agreement and/or MAA (Master Assignment Agreement) between IGF/TREK and Local IBM Countries.
- Was there an established process governing the release of indicative pricing?

CLIENT FINANCING

AUDIT PROGRAM #11-20-00

CONTROL ASSESSMENT QUESTIONS

Key Control Question: 1. Pricing Quote and Contract Creation

Primary Test: Contract Creation (PC002.P)

Objective:

Determine if standard terms and conditions (T&Cs) were used in establishing contracts, and that non-standard T&Cs were properly reviewed and approved by Legal/Contract and Negotiations and notified to Accounting.

Approach:

Determine the process to create contracts. Determine if the process allows for non-standard T&Cs or side letters. If no exceptions are identified, review a listing of delinquencies, write-offs, credit notes, customers placed in suspense, and customer claims to determine if any of these accounts receivable exceptions are a result of unapproved or ambiguous contract T&Cs. Select these exceptions and test for the following:

- Was there a valid base contract in place from which supplements could be administered?
- Was the contract supplement properly executed?
- Were there side letters that altered the contract?
- Does the contract contain the mode of payment, penalties for late payments, termination terms, tax treatment, and clauses for recourse in the event of customer default?
- Were all contract amendments properly justified, approved, and documented?
- Was Accounting notified of any non-standard terms and conditions? For contracts with non-standard terms and conditions that require Accounting review, did IGF submit the contracts to Accounting for review in a timely manner?
- If the contract was altered by either the customer or IBM, was it properly reviewed and approved?
- If the financed product or solution was sourced from a Business Partner, was a validation of the business partner's approval performed?
- Was there valid credit approval to support the transaction prior to inception to support the customer credit position?
- Was the available credit limit for the customer updated when the new lease was accepted, reducing the available credit by the amount of the new lease?
- If applicable, to validate the complete review and approval of internal contracts (Rate Buy Down agreement, discount letter, participations agreement, etc.) between IBM and IBM Credit.

Note: The collateral validation is being performed by Credit.

CLIENT FINANCING AUDIT PROGRAM #11-20-00

CONTROL ASSESSMENT QUESTIONS

Key Control Question: 2. Contract Administration

Objective:

Is the contractual relationship (IGF/customer) correctly created, validated, and maintained throughout the financing process in compliance with IBM business practices guidelines, and concluded in accordance with contractual terms and conditions?

Risk/Exposure:

IBM has a long-standing commitment to maintain a correct and equitable business relationship with its customers. Any irregularity (or perceived irregularity) in the customer financing process could damage the relationship with customers and could result in financial loss and financial misstatement.

CLIENT FINANCING AUDIT PROGRAM #11-20-00

CONTROL ASSESSMENT QUESTIONS

Key Control Question: 2. Contract Administration

Primary Test: Contract Administration (CA001.P)

Objective:

To determine if the contracts were correctly validated, inceptioned and administered throughout the financing process in compliance with IBM business practices guidelines and according to the contract terms and conditions.

Approach:

Determine and review all the processes applicable to administration of the contracts. Review and analyze contract and transaction data to identify contracts with non-payment per contract terms, concessions and write-off, and other issues and concerns.

Select a sample of contracts including both capital and operating leases and test for the following:

- Were the lease terms and the lease start date consistent with the contract terms?
- Was the contract in place prior to the lease being paid and inceptioned?
- For product and solutions sourced from Business Partners and third-party vendors, was the Certificate of Acceptance obtained and validation performed prior to the inception of the lease, and funding?
- Were all of the conditions met per the requirements – credit conditions, customer documentation, vendor information?
- Was revenue recognized in accordance with applicable accounting instructions and practices?
Note: Sales-type lease revenue is earned upon shipment of the product to the customer. Rental and operating lease revenue is earned over the term of the rental or lease on a straight-line basis, regardless of payment terms. Please refer to Accounting Practices 9 and 12 for further lease revenue recognition guidance.
- For mid-lease, early end of lease, and end of lease transactions, were they executed consistent with the terms and conditions of the original contract; and where applicable, was the new/amended contract properly approved by IGF/C&N, supported by approved credit and pricing, and executed by both parties?
- Verify that US export regulations have been fulfilled (table of denial orders, cryptographic products, supercomputers).
- For mainline financing where IBM is the supplier, was the financing transaction supported with valid contract/SOW/participation agreement between IBM and IBM Credit?

CLIENT FINANCING

AUDIT PROGRAM #11-20-00

CONTROL ASSESSMENT QUESTIONS

Key Control Question: 2. Contract Administration

Primary Test: Critical Conditions (CA002.P)

Objective:

Determine if all critical conditions were met prior to activating the funding and inception of the lease/loan and allowing the customer access to the financed asset.

Approach:

Determine the process used to manage critical conditions. Critical conditions are any activity identified during the credit evaluation process or activity required in the contract that must be completed prior to installing the financed asset. Identify exceptions where critical conditions were not met prior to installation and determine the associated risk of not completing the activity. Select the exceptions and test for the following attributes:

- Was all critical condition subsequently met or waived as the process requires? If waived were these properly approved.
- USA only: Determine the process for tracking Uniform Commercial Code filings (UCC1). All financed assets that require UCC filings should be legally registered. Determine if there were any financed assets that were not protected with current UCC1 filings. If no exceptions are identified, select customers with significant delinquency, and write-offs and test that UCC1's were filed for these customers. (UCC1 filing is a US requirement, however, similar requirements to secure IBM's interest in financed assets may be required in other geographies.)

CLIENT FINANCING AUDIT PROGRAM #11-20-00

CONTROL ASSESSMENT QUESTIONS

Key Control Question: 2. Contract Administration

Primary Test: Business Partner Monitoring (CA003.P)

Objective:

Monitor client financing transactions with Business Partners to identify potentially fraudulent activities.

Approach:

Determine the process to query the various data sources for Business Partner and end-user data, compilation of the data, and investigation of areas of concern. Validate that Client Financing communicates areas of concern to Credit Restructuring for further analysis and decision to support further escalation to the Business Partner Organization for appropriate action (such as watch, warn, suspend, terminate).

Based on the data reviewed, determine the extent or the need to test.

NOTE : There are also IGF Financing Associates (FA) and Sponsored Vendor Validation which are IGF owned vendors authorized to earn commission with the financing transaction. Request the list of FA and Sponsored Vendor and validate the process of verification, revalidation, and termination.

CLIENT FINANCING AUDIT PROGRAM #11-20-00

CONTROL ASSESSMENT QUESTIONS

Key Control Question: 2. Contract Administration

Primary Test: Capital Markets - Administration (CA004.P)

Objective:

Generally, the capital markets transactions differ substantially from the normal business model for client financing transactions. IGF Leases or portfolios are purchased by financial institutions. These transactions are usually non-disclosed to the end user and all contact with the end user is through the seller.

Collection activity is carried on by the seller utilizing the same diligence applied to their own leases. Payments are made on a perfect pay basis with clawback provisions. Should the seller's due diligence efforts in collecting the A/R prove unsuccessful they will request a reimbursement for the perfect pay payments made but not collected. At this juncture the end user is notified and IGF is disclosed as the owner of the receivables/assets.

Approach:

Determine if the Client Financing business unit being audited have transactions in the capital markets (syndications).

Request the universe of Capital Market Sales activity processed during the audit period. Select a representative sample for testing.

Key Questions:

Contracting

- Is an approved GEO and guidance line provided?
- Is an approval provided by C&N/Legal?
- Is an approved credit log provided?
- Are there documented payment instructions letter from the payee on letterhead with completed banking information for wire purposes?
- Are the executed purchased documents provided?
- If applicable, is an Asset Validation Checklist provided?
- Was there appropriate Global Review Board (GRB) approval?

Funding

- Was all supporting documentation provided for the Funding Control Sheet?
- Were copies of the signed agreements provided?
- Were applicable pre-funding conditions satisfied?
- Were applicable post-funding conditions satisfied?

Billing

- Were assets booked with approved pricing and required asset serial detail?
- Was billing validated by second deal closing administrator who did not input the billing?
- Was there management review of the accounting and billing system output?

Mid/End of Lease

- If applicable, were insurance certificates renewed annually?
- Were controls in place to ensure the timely and accurate handling of the end of the lease according to the Master Sale Agreement's terms and conditions (including any revenue sharing)?

CLIENT FINANCING AUDIT PROGRAM #11-20-00

CONTROL ASSESSMENT QUESTIONS

Key Control Question: 2. Contract Administration

Primary Test: Capital Markets - Administration (CA004.P)

(Continued)

Accounts Receivable

- Were the A/R results reviewed with appropriate BSO management?
- Were customers delinquent past the defined clawback period identified?
- Were the clawback requests referred to appropriate BSO management?
- Were clawback accounts referred to IGF Special Handling?
- Determine if there were adequate procedures for processing timely and accurate refunds for overpayments and clawbacks. Verify that all required documentation and approvals were obtained prior to processing the refund.

CLIENT FINANCING AUDIT PROGRAM #11-20-00

CONTROL ASSESSMENT QUESTIONS

Key Control Question: 3. Billing

Objective:

Was billing complete, accurate, and on time for all financed activity?

Risk/Exposure:

The prompt billing of financing activity is important since the client financing business is based on the time value of money and assumes the customer receives the billing on time. Complete, timely, and accurate invoicing is critical to the revenue and collection process, IBM's cash flow, and the customer's perception of the corporation.

CLIENT FINANCING

AUDIT PROGRAM #11-20-00

CONTROL ASSESSMENT QUESTIONS

Key Control Question: 3. Billing

Primary Test: Billing Performance (BI001.P)

Objective:

Determine if invoices were issued promptly and accurately to customers and verify that effective measurements exist to monitor the overall quality of billing.

Approach:

Test local billing measurements for accurate reporting and to determine current trends. Validate that billing measurements accurately report all billing sources and activity. If it can be determined that all billing was accurately measured, billing samples should only be pulled to obtain additional information not revealed by the measurements, i.e., accuracy and timeliness. If measurements and trends indicate an ongoing problem, perform secondary billing testing.

Determine if billing can be suppressed or suspended. If billing can be suppressed or suspended, determine who is able to do so, for what reasons, and who must approve.

If billing measurements do not detail sufficient exceptions, review listing of delinquencies, write-offs, credit notes, and customer claims to determine if any of these accounts receivable exceptions are a result of billing deficiencies. Select these exceptions and test for the following:

- Was due date on invoice the same as the date specified in the contract?
- Were there any differences between the contract amount and the amount billed?
- For mainline financing where IBM is the supplier, request a list of internal billing between IBM Credit and IBM and validate whether the billings were timely performed as per the SOW/DOU/participation agreements between IBM and IBM Credit.
- For Rate Buy Down (RBD) where IBM is giving discount to IBM Credit, determine whether monthly query was extracted by Finance and billed accordingly by BSO on a timely manner. Select samples from the list of RBD and validate the accuracy against the contract. Also test on the completeness of the RBD query.

Note: For RBD process, the Finance team will run a query monthly to determine and provide 'RBD', 'Discount' and 'Participation' values that are to be billed to IBM. These are three distinct charges all based on the assignment indicators in portfolio. The billing will be performed by BSO team with the information extracted by Finance.

CLIENT FINANCING AUDIT PROGRAM #11-20-00

CONTROL ASSESSMENT QUESTIONS

Key Control Question: 3. Billing

Secondary Test: Manual Invoices and Credit Notes (BI002.S)

Objective:

Determine if manual invoicing and credit notes were justified, approved, and prepared promptly and accurately.

Approach:

Review a listing of manual invoices and credit notes and select manual billings focusing on recurring adjustments for the same customer and the same amount. From the manual billing test for the following:

- Was the reason valid and documented?
- Was the bill accurately prepared?
- Was the bill promptly processed?
- Was there evidence of financial loss for not billing accurately or on time?
- Was there evidence of action to avoid recurrence?

CLIENT FINANCING AUDIT PROGRAM #11-20-00

CONTROL ASSESSMENT QUESTIONS

Key Control Question: 3. Billing

Secondary Test: Billing Completeness (BI003.S)

Objective:

Determine if all billings are complete.

Approach:

If the billing trends indicate incomplete billings, review the reconciliations between the feeder system(s) and the billing system. Determine if reconciling items were identified, aged, and resolved. Determine if suppressed billings were reported, reviewed, and resolved.

For Rate Buy Down (RBD), validate the completeness of the RBD query extracted by Finance team executed by BSO team to ensure the complete extraction and billing activities was being performed.

CLIENT FINANCING

AUDIT PROGRAM #11-20-00

CONTROL ASSESSMENT QUESTIONS

Key Control Question: 3. Billing

Primary Test: Inter-company Billing (BI004.P)

Objective:

Determine if inter-company billings between IBM and IBM Credit were issued promptly and accurately as per approved rate and verify that the inter-company billings were supported with valid inter-company agreement.

Approach:

Understand the process and frequency of the inter-company billings between IBM and IBM Credit for all the services being provided, including but not limit to Accounting, HR, Procurement, Treasury, IT Infrastructure, Global Credit etc. Validate that billing against the approved cost rate in the signed inter-company agreement.

- Was the billing performed in a timely manner?
- Was the billing performed as per approved cost rate?
- When applicable, was accrual performed for expected cost?
- When applicable, was the cost being normalized over the applicable period?

Note: Control points had been established in F&P and BSO functions to ensure the inter-company billing are being handled in the form of "Services Invoice." The F&P team performed the activity of ensuring the accuracy and overall structure of the cost to be transferred and BSO team is responsible to pay or bill the services invoicing accurately in a timely manner. For Rate Buy Down (RBD), refer to section Billing Performance (BI001.P).

CLIENT FINANCING AUDIT PROGRAM #11-20-00

CONTROL ASSESSMENT QUESTIONS

Key Control Question: 4. Supplier Payments

Objective:

To ensure that there is an effective process in place to make payments to third party suppliers timely, accurately, and with proper support.

Risk/Exposure:

Inadequate supplier payment controls could result in fraudulent payments, late payments, or payments for incorrect amounts. Inadequate control of supplier payments could result in the loss of assets and impact customer satisfaction.

CLIENT FINANCING

AUDIT PROGRAM #11-20-00

CONTROL ASSESSMENT QUESTIONS

Key Control Question: 4. Supplier Payments

Primary Test: Supplier Payments (SP001.P)

Objective:

To ensure that there is an effective process in place to make payments to suppliers timely, accurately, and with proper support.

Approach:

Select a sample of payments and test the following:

- Were the payments, including invoice settlements and fee payments, properly approved, and supported? Were the payments complete and accurate including applicable tax treatment?
- Were goods/services billed in accordance with goods/services stipulated in lease agreements?
- Was Certificate of Acceptance received by IGF prior to payment to Business Partner (BP) or third-party supplier?
- Were any payments made to suppliers prior to the lease authorization to fund?
- For mainline financing where IBM is the supplier, were the payments made prior to the signing of participation agreement between IBM and IBM Credit.

For BP Fee payment, check to ensure the transaction was eligible for payment. Specifically, for Category 3 countries, if the GOE designation of the end user (company incepting the financing) is Yes, Unknown or Blank, the transaction is not eligible for fee payment.

Note: BP invoice together with Certificate of Acceptance is sufficient documentation for IGF to secure price validation. Correctness and accuracy of BP invoice to end user are checked through BP compliance activity by Business Partner Organization (BPO). This includes special bid compliance by the BP. Please refer to BP Management audit program 56-00-00 section Special Bids (CA002.P). BPO owns the relationship with the BP. IGF is included in the dissemination of the IBM Compliance Review Board meeting minutes and should take the appropriate actions decided for BPs from these reviews.

CLIENT FINANCING AUDIT PROGRAM #11-20-00

CONTROL ASSESSMENT QUESTIONS

Key Control Question: 4. Supplier Payments

Primary Test: Supplier Verification (SP002.P)

Objective:

To ensure that suppliers are verified in accordance with IGF procedures.

Approach:

Supplier was checked and validated by Global Financing as vendor, IBM Business Partner, IGF Financing Associate, or Sponsored Vendor in accordance with Global Financing WW Business Partner process.

Note: Based on the risk analysis by the Global Process Owner there is no additional validation for the type of relationship between the supplier and end-user. The established controls for end-user verification (credit analysis, end-user identity verification) and supplier verification (Business Partner and Finance Associates approval processes and Business Partner monitoring) mitigate the risk for fraudulent relationships.

Note: With the set-up of IBM Credit as a separate entity starting 1Q 2017, ensure IBM is being setup as a vendor and supported with appropriate supplier contract.

CLIENT FINANCING

AUDIT PROGRAM #11-20-00

CONTROL ASSESSMENT QUESTIONS

Key Control Question: 5. Early End of Leases and End of Leases

Objective:

Are controls in place to ensure the timely and accurate handling of the early end of lease and end of the lease according to the contract terms and conditions?

Risk/Exposure:

The customer normally has several options at the end of a lease. These options should be included in the terms and conditions of the contract. There may be residual values left on IBM Credit books at the end of the lease, and the final disposition of those not only impact the determination of the lease rates, but also could cause a considerable impact on IBM Credit income at the end of the lease. There is also often the risk that equipment returned to IBM Credit at the end of the lease has to be disposed of in some other way with resultant chance of loss or gain.

Note: Some of the process steps linked to the return of used equipment are part of the Returned Inventory Management process, which is a separate audit program (55-10-00). For example, validation that all of the equipment, features, upgrades and parts were returned. Please take note that the GARS functions remained in IBM while Client Financing and Commercial Financing will be operated in IBM Credit as an independent entity from 1Q2017. Therefore, for all returned assets to IBM Credit during end of lease or early end of lease, ensure appropriate handling of title transfer to from IBM Credit (Client Financing) to IBM (GARS). Also, ensure the appropriate billing and payments between IBM Credit and GARS related to the returned assets were performed timely.

CLIENT FINANCING

AUDIT PROGRAM #11-20-00

CONTROL ASSESSMENT QUESTIONS

Key Control Question: 5. Early End of Leases and End of Leases

Primary Test: Early End of Leases and End of Leases (EO001.P)

Objective:

Determine if effective controls exist to ensure timely and accurate resolution and processing of end of lease (EOL) transactions early EOL transactions according to established processes and contract terms and conditions.

Approach:

Ensure that there is a control system in place that alerts IBM that leases are due to be terminated and that this notification is early enough for IGF to plan disposition.

Identify and understand local guidelines and those of the financing organization. Select representative samples of EOL transactions for continuations, purchases, renewals and returns and test for the following:

Purchases

1. Timely billing of applicable EOL charges, if early termination
2. Accurate purchase price applied. For ended fair market value (FMV) leases test for the following:
 - a. What is the local methodology for pricing these sales? Were these guidelines followed?
 - b. Were prices at or above the appropriate GARS Fair Market Values or Client Financing HQ pricing tables price? If not, was the price approved within the GARS Delegated Authority by Client Financing HQ and local management?
 - c. Was the final sales price determined by an appropriate business decision (based upon supply, demand, inventory levels) or provide sufficient profit level? If not, was the business justification of the sales price adequate?
 - d. Timely and accurate invoicing to customer
 - e. Timely update in portfolio system

Continuations (sometimes called "rental" billings)

1. No lapse in billing, without proper exception approvals. Were there complete exception approvals for stopping or waiving continuation billings? Was there a process established for stopping or waiving of continuation billings?
2. Asset portfolio entry maintained
3. Accurate pricing, with the required approvals
4. Were continuation billings accurate and generated in a timely manner?

Renewals

1. New lease renewal start date versus old lease stop date (no holidays)
2. Was the renewal processed timely based on when the renewal notification was received.
3. Accurate pricing, with the required approvals

Returns

1. Timely billing of applicable termination charges
2. Lease stop date versus continuation billing at end of lease for assets not returned
3. Timely return of asset and update in portfolio system
 - a. Timely transfer of the asset ownership from Client Financing (IBM Credit) to GARS (IBM)
 - b. Reconciliation was performed and appropriate action were taken for damaged or incomplete asset return
 - c. Appropriate billing/payment between IBM Credit and GARS related to the returned assets was performed

CLIENT FINANCING AUDIT PROGRAM #11-20-00

CONTROL ASSESSMENT QUESTIONS

Key Control Question: 5. Early End of Leases and End of Leases

Primary Test: Early End of Leases and End of Leases (EO001.P)

(Continued)

Note: With the setup of IBM Credit, validate to ensure the below steps were appropriately performed for all returned assets:

1. Reconciliation was performed on the returned assets to ensure IBM Credit fully owns the title of the equipment
2. Upon reconciliation, ensure the equipment list has been inputted to the inventory system
3. IBM Credit will initiate the invoice to GARS (IBM) based on the reconciled equipment list.

Other Considerations:

1. Have market values for equipment at the end of lease been established, approved and reviewed by the appropriate persons?
2. Validate that non-coterminous upgrades are returned based on the applicable contract terms or if the base machine is renewed/extended that the upgrades are included in the renewal/extension contract.
3. Is equipment record updated in the portfolio system when purchased at end of lease?
4. Was there a notification process when the lease is about to end? If there was none, was there a reasonable justification?

If applicable, select a sample of early end of lease terminations and test for the following:

Terminations – Purchase

1. Contractual lease stop date versus actual stop date
2. Appropriate early termination justification/approval
3. Accurate purchase calculation and pricing approval: customer quote and invoicing
4. Timely billing
5. Timely removal from lease portfolio system

Terminations – Returns

1. Contract lease stop date versus actual termination date
2. Termination penalties accurately computed, approved and timely billed
3. Exemption from termination charges documented and approved
4. Timely return of equipment and updating of lease portfolio system
5. Timely transfer of the asset ownership from Client Financing (IBM Credit) to GARS (IBM)

Request for a list of waived early end of lease charges and test for the following:

1. Approvals and process in place for the waiver
2. Monitoring of the waiver process

Note: Damaged Billing is audited and tested in the Returned Inventory Management Audit.

CLIENT FINANCING

AUDIT PROGRAM #11-20-00

CONTROL ASSESSMENT QUESTIONS

Key Control Question: 6. Revenue and Cost Recognition **(THIS TEST IS CANDIDATE TO BE DELETED, AS REVENUE RECOGNITION SHOULD BE TESTED IN A CRM AUDIT)**

Objective:

- Is there an effective management review process to ensure that all revenue is recognized in the financial statements in accordance with generally accepted accounting principles, IBM practices and instructions?
- Is there an effective process for matching cost to revenue to ensure the integrity of cost/revenue recording and gross profit reporting?
- Is there any evidence of improper practices in any of the shipments or other activity for which revenue has been recognized?

Risk/Exposure:

Inaccurate cost and revenue reporting could have a significant negative impact upon the integrity of the IBM financial statements.

Even if automated systems record cost and revenue in the general ledger from billing and inventory movements, it is still necessary to perform a detailed match between individual cost and revenue records, to ensure that the process is functioning correctly. Any aged, unmatched items might indicate a lack of processing integrity and/or associated administrative problems.

Where revenue recognition is not triggered by system interfaces, (for example services revenue and systems integration contracts) there is a risk that achievement of measurement targets or commission incentives may encourage misstatement of revenue.

CLIENT FINANCING AUDIT PROGRAM #11-20-00

CONTROL ASSESSMENT QUESTIONS

Key Control Question: 6. Revenue and Cost Recognition

Primary Test: Client Financing Revenue Recognition (CR001.P)

Objective:

To determine if an effective process exists to match and accurately record revenue and costs for the various types of leases in line with generally accepted accounting principles and IBM accounting practices, in the appropriate time period.

Approach:

Understand and document the process that is used to match cost to revenue for financed assets. Operating leases should have the correct amount of depreciation recorded each month, and capital leases should be recorded so that the correct interest income amount is recognized each month.

Identify and select exceptions and perform the following tests. Exceptions may be identified using the following criteria:

- Unusually high, low, or negative yield or gross profit margins within a particular product set lease or loan portfolio.
- Negative cost or net investment balances for a particular machine.
- Manual journal entries.
- Control reports.
- Base lease extensions.
- Mid lease buyouts.
- Continuations or renewals.

From the exceptions selected, test the following:

- Confirm methodology and ensure revenue for capital leases and loans is recorded in accordance with accounting practices. (Accounting Practice No. 12: Accounting for Leases) For example, was total revenue calculated based on the present value of the minimum lease payments and the present value of the gross residual value? Did amortization of unearned income begin at the inception of the lease, typically the installation date? Was unearned income recorded on the balance sheet at inception and amortized to finance income over the lease term to produce constant periodic rate of return on the net investment in the lease based on the interest rate implicit in the lease?
- Confirm methodology and ensure revenue for operating leases is recorded in accordance with accounting practices. (Accounting Practice No. 12: Accounting for Leases) For example, did rental revenue commence at the inception of the lease? Was rental revenue recorded on a straight-line basis over the term of the lease?
- Are assets subject to operating lease depreciated on a straight-line basis over the term, down to the accounting residual value in the lease?
- Did the depreciation commence promptly?
- Was the depreciation rate accurate?
- Were the correct costs identified and matched to the corresponding revenue?
- Was the cost to revenue matching completed monthly if applicable?

CLIENT FINANCING AUDIT PROGRAM #11-20-00

CONTROL ASSESSMENT QUESTIONS

Key Control Question: 6. Revenue and Cost Recognition

Primary Test: Client Financing Revenue Recognition (CR001.P)

(Continued)

- Was the revenue recognized in the correct accounting period?
- Were the manual revenue and cost accounting entries accurate, timely and approved? Did the entries correspond with the prices and payment terms established in the contract?
- Were non-standard payment streams (steps and holidays) treated correctly and spread over the entire lease period?
- Was the asset added to the financing system within a reasonable period of time after the contract started, or the equipment installed?
- Was equipment promptly removed from the financing system when the asset was no longer owned by IBM?
- Were accruals made to adjust revenue or cost, and were they consistent from period to period, reviewed, approved and reversed?
- If software is allowed on leases, have procedures been set up and approved to handle it (for WT Accounting purposes, financing of software is always recorded as a loan, not as a lease).
- If problems were identified in adding leased assets to the system, perform test on settling financed invoices.
- Review the relative size and age of balance sheet variances. Validate if this indicates other operational issues such as lack of communication or collaboration between Accounting and IGF to resolve issues. Obtain this information from Accounting.

CLIENT FINANCING

AUDIT PROGRAM #11-20-00

CONTROL ASSESSMENT QUESTIONS

Key Control Question: 6. Revenue and Cost Recognition

Primary Test: Client Financing Revenue and Cost Accruals (CR002.P)

Objective:

Verify revenue and costs are recognized accurately in accordance with generally accepted accounting principles and IBM practices, in the appropriate period.

Approach:

Note: Capital leases and loans are accounted for under the effective interest method. As the customer pays off the receivable, interest income is recognized and IGF's cost of financing is the interest paid on debt used to fund assets.

Approach:

- Obtain copies of income and expense report schedules and supporting sub-schedules to review monthly accruals.
- Select a sample of revenue and cost accruals from the ledger. Focus on quarter-end, year-end activity, high dollar transactions and manual entries.
- Are the revenue and cost accruals supported by analysis showing how the accrual levels were determined?
- Does the accrual method clearly show that only relevant transactions for the period have been included and that none are taken for the following period? Is there a management system in place for validating re-accruals processed in the following period?
- Where revenue accruals are recorded, is there a control process which ensures that the accrual is reversed when the actual revenue is recorded, and tracks the length of time that the accrual remains on the books?
- Is the accrual methodology consistent with the terms of the contract? Note: Ensure that billing information which generates the ledger entries corresponds to the terms in the contract.
- Is there any evidence that accrual adjustments are being made without appropriate management approval?
- Were the accruals based on reasonable and documented valuations?
- Is a process in place to stop revenue accrual for client financing arrangements for which collection is at risk (i.e., Place on non-accrual status)? Conversely, is a process in place to restart revenue accruals for client financing arrangement for which collection is no longer at risk?

NOTE: Special attention should be given to revenue accruals relating to business partner activities.

CLIENT FINANCING

AUDIT PROGRAM #11-20-00

CONTROL ASSESSMENT QUESTIONS

Key Control Question: 6. Revenue and Cost Recognition

Primary Test: Measurements (CR003.P)

Objective:

Verify that measurements are in place to provide management with visibility of operational efficiency and process exceptions. In addition, verify that exception conditions are identified, reported, and properly handled.

Approach:

- Do measurements exist to gauge operational efficiency and process exceptions?
- Is a gross profit analysis being performed which would identify exceptionally high or low gross profit ratios and could indicate problems with cost/revenue recording? Are the exception conditions investigated, documented, and corrected if found in error (country clip levels must be taken into consideration)?
- Is there a cost/revenue match process? (i.e., are there contracts with costs but no revenue, or revenue with no costs?) Are there exception reports produced to monitor this activity and are revenue or cost accruals being recorded when appropriate?
- Is there management visibility and review for all measurements and exception activity?

CLIENT FINANCING AUDIT PROGRAM #11-20-00

CONTROL ASSESSMENT QUESTIONS

Key Control Question: 7. Regulatory Compliance and Taxes

Objective:

Was the IBM legal entity and client financing business and contracts in compliance with regulatory requirements, accounting regulations, statutory reporting, and tax laws, especially in regard to lease classification?

Risk/Exposure:

Noncompliance with regulatory requirements, accounting regulations, statutory reporting, and/or tax laws could result in legal implications and additional cost to IBM.

Note: Since the Client financing activities are performed primarily by IBM Credit, there should be high focus on the regulatory compliance of IBM Credit.

CLIENT FINANCING AUDIT PROGRAM #11-20-00

CONTROL ASSESSMENT QUESTIONS

Key Control Question: 7. Regulatory Compliance and Taxes

Primary Test: Regulatory Compliance (RT001.P)

Objective:

Is the client financing business and contracts in compliance with the applicable regulatory requirements?

Approach:

- Obtain a complete listing of all the regulatory authorities and regulations in the country that client financing needs to comply with. Validated the completeness of the requirements.
- Obtain a copy of all the registrations that have been obtained.
- Determine filing requirements with regulatory authorities and review the most recent filings.
- Review the reports for any recent reviews performed relating to regulatory compliance.
- Review latest reports and inputs from PwC on regulatory compliance of the client financing business; and meet with PwC as necessary to discuss.
- Review the process how the reports are prepared, how their accuracy is checked.
- Review the process how the regulatory compliance changes are monitored and how the implementation of the regulatory changes in Client Financing activities is defined.

Note: With the organization restructure in 1Q2017, IBM Credit is considered as a financial institute in some countries where the banking regulation are applicable. Understand the overall controls implemented with the organizational change to ensure the regulatory compliance were met.

CLIENT FINANCING AUDIT PROGRAM #11-20-00

CONTROL ASSESSMENT QUESTIONS

Key Control Question: 7. Regulatory Compliance and Taxes

Primary Test: Accounting and Statutory Compliance (RT002.P)

Objective:

Is the accounting and statutory reporting of leases and loans in compliance with the local accounting rules and regulations?

Approach:

- Determine the applicable accounting rules and statutory reporting requirements for leases and loans, including the classification of leases and loans and the accounting treatment and statutory reporting applicable to each classification.
- Obtain a copy of the last audited financial report.
- Determine if PricewaterhouseCoopers (PwC) have confirmed if the classification and recording of leases and loans are in compliance with the accounting and statutory rules applicable to the IBM legal entity.
- Arrange to meet with PwC as necessary to discuss the accounting and statutory requirements, and any concerns PwC or auditors may have.
- Verify the processes, general ledger entries, and statutory reporting are in compliance with the accounting rules and statutory requirements.

CLIENT FINANCING

AUDIT PROGRAM #11-20-00

CONTROL ASSESSMENT QUESTIONS

Key Control Question: 7. Regulatory Compliance and Taxes

Secondary Test: Taxes (RT003.S)

Objective:

Determine if IBM Tax and PwC have approved the criteria by which financing transactions are classified, including lease classification as capital, or operating.

Approach:

Meet with IBM Tax and PwC to determine if they have approved the criteria by which financing transactions are classified, including leases as operating or capital leases, and if the tax treatment was properly performed.

Review the most recent IBM Tax confirmation on the local tax treatment applicable to financing transactions.

Review the most recent PwC audit report and meet with them to discuss any concerns.

- Are all lease calculations in agreement with local tax regulations?
- Is there any difference in the treatment of financing transactions between the local country accounting rules and the local tax laws? Review and test as appropriate.
- Are there tax incentives available for capital leases and if so, are they passed on to the customer through reduced lease rates or does IBM take the tax credit? Has this been reviewed and approved?
- Direct tax: how are the different types of financing transactions classified, as impacts the timing of revenue recognition?
- Income tax: what is the value added tax or other types of sales tax applicable to the various types of financing transactions?
- Withholding tax: are financing transactions across country borders subject to withholding tax?

CLIENT FINANCING AUDIT PROGRAM #11-20-00

CONTROL ASSESSMENT QUESTIONS

Key Control Question: 8. Return on Investment

Objective:

Are process and controls in place to ensure adequate return on investment.

Risk/Exposure:

Leasing is an interest-based operation and management should ensure that IBM makes an adequate return on the investment. This can only be assured if the interest rates underlying the lease rates are reviewed and approved by the Treasurer to ensure that IBM can borrow money at lower rates which will give IBM the desired internal rate of return on the investment. There should also be a target figure for return on equity and the results should be reviewed and controlled. In addition, the principal of matching the leases with debt of equivalent duration should be in place in order to properly safeguard against fluctuation in interest rates.

CLIENT FINANCING AUDIT PROGRAM #11-20-00

CONTROL ASSESSMENT QUESTIONS

Key Control Question: 8. Return on Investment

Primary Test: Return on Investment (RI001.P)

Objective:

Determine if process and controls are in place to ensure adequate return on investment.

Approach:

Review the process to determine if controls are in place to ensure adequate return on investment.

Interest rates used in pricing should be determined by Treasury; any exceptions should be approved by the Treasurer or his designee. Determine if the principle of matching leases to debt has been achieved.

Consider the following for audit of client financing business units:

- Do pricing quotes have a validity period that ensures the interest rate used in pricing quotes remains current?
- Is there a process in place to manage interest rate risk by matching debt maturities to those in the client financing asset portfolio?
- Are asset protection strategies in place and reviewed with the appropriate geographical HQ annually?

Consider the following for any audit of corporate client financing organization:

- Is there a regular exchange of applicable interest rate information between Treasury and the worldwide pricing function?
- Is debt to equity guidelines to leverage client financing assets established with Treasury, and adhered to?

CLIENT FINANCING AUDIT PROGRAM #11-20-00

CONTROL ASSESSMENT QUESTIONS

Key Control Question: 9. Volumes

Objective:

Were Volumes correctly determined and reported for new transactions?

Risk/Exposure:

The amount of new business for leases and loans is incorrectly disclosed in the financial statements filed with the regulatory authorities.

CLIENT FINANCING AUDIT PROGRAM #11-20-00

CONTROL ASSESSMENT QUESTIONS

Key Control Question: 9. Volumes

Primary Test: Volumes (VO001.P)

Objective:

Volumes are correctly determined and reported for new transactions.

Approach:

- Review the rules for determining what portion of new transactions are counted as Volumes.
- Review the process for making the adjustments to Volumes for the various categories of transactions that are non-standard from the perspective of recording Volumes.
- For selected period, compare the universe of contracts for new business to the Volumes report for the same period and test exceptions and variances.

CLIENT FINANCING AUDIT PROGRAM #11-20-00

CONTROL ASSESSMENT QUESTIONS

Key Control Question: 10. Application Management and Separation of Duties

Objective:

Were responsibilities segregated, and access to applications effectively managed, such that no one individual had responsibilities that would allow them to circumvent the system of controls?

In addition, were applications registered and certified as required by IBM corporate instructions and was access to data adequately managed and protected.

Note: a separate audit program exists for audit of IBM common applications.

Risk/Exposure:

An individual with responsibilities which would permit the initiation and concealment of irregular activity without detection, or with excessive or unauthorized access to applications and data, could cause an exposure to IBM.

CLIENT FINANCING

AUDIT PROGRAM #11-20-00

CONTROL ASSESSMENT QUESTIONS

Key Control Question: 10. Application Management and Separation of Duties

Primary Test: Application Management and Separation of Duties (AS001.P)

Objective:

Determine there was adequate separation of duties and adequate management of access to applications such that no one individual had responsibilities that would allow them to circumvent the system of controls or had unauthorized access to applications and data. Also, determine that all of the applications and spreadsheets being used by client financing process were registered and certified as required by IBM corporate instructions.

In addition, determine that the Application System Control Auditability (ASCA) requirements have been met for the spreadsheets used in the process.

Note: a separate audit program exists for audit of IBM common applications.

Approach:

- Application registration and certification

Validate that all applications have being registered in Business Transformation Management Tool (BTMT) and had ASCA evaluation performed, and certification obtained (where applicable). Also, verify that the BTMT registration and ASCA certification are up to date for the latest release of each application.

In addition, validate that the ASCA requirements have been met for spreadsheets used in the process. ASCA requires an inventory of spreadsheets to be maintained and an ASCA evaluation be performed for spreadsheets that met certain criteria.

- Access management

Obtain a list of applications used and review the process for granting approvals for access to ensure that business need is confirmed. Ensure approvals include the employee's manager, or other relevant individual, that would be aware of other access granted to that employee. Review the process for periodic verification of employees and validation of continued business need. In addition, ensure that access for leavers (including to other roles) is deleted in accordance with IT security timeliness requirements.

- Separation of Duties

Review, and test as necessary, the separation of duties assessment to validate that a complete separation of duties including all system accesses had been performed, was up to date, and had been reviewed and approved by management. Verify that potential conflicts have been identified and secondary controls established.

CLIENT FINANCING AUDIT PROGRAM #11-20-00

CONTROL ASSESSMENT QUESTIONS

Key Control Question: 11. Business Continuity Planning

Objective:

To determine if process owners have developed, reviewed, and tested business continuity plans (BCP) so that in the event of natural or man-made disasters, pre-defined plans can be executed to maintain business operations. In particular, management of assets (outstanding leases and loans).

Risk/Exposure:

Any material disruption of business operations due to natural or man-made disasters can lead to significant financial loss not only IBM but potentially also for IBM's customers. For client financing this could impact the ability to manage outstanding leases and loans. Many business processes have been centralized, and often operations are conducted in locations which may be susceptible to business disruption. As a result, it is important that business and process owners have developed plans to maintain continuity of business operations in those centralized operations.

CLIENT FINANCING

AUDIT PROGRAM #11-20-00

CONTROL ASSESSMENT QUESTIONS

Key Control Question: 11. Business Continuity Planning

Secondary Test: Business Continuity Plan (BC001.S)

Note: Business continuity risks become increasingly important in the environment where there are centers of excellence and multiple countries are supported by one center. This should therefore be an important test and considered primary in that environment. IT testing for disaster recovery is handled by the IT audit teams.

You should refer to BPBC127 Guideline for Business Process - Area Business Continuity Planning in the reference section of this audit program, in support of your review.

Objective:

Was there a comprehensive business continuity plan (BCP) in place to enable continuation of business and management of assets (outstanding leases and loans) should a significant event occur that disrupted current operations and/or systems.

Approach:

A guideline has been put in place for process owners providing guidance on business continuity planning (BCP). It should be noted by the audit team that this is a guideline rather than a specific instruction. However, it will act as a guide for you to understand whether key risks have adequately been considered for BCP and enable you to make an informed judgement regarding the risk mitigation in place. Different processes will have their own unique risk profiles regarding the probability and impact of an interruption to business operations. For example, the probability and impact of a business interruption for a process which has been centralized for multiple countries in a location with less-developed infrastructure is likely greater than that of a process supporting only a single country in location with robust infrastructure. As such, auditor judgment will be required to determine how important BCP is for a particular process, as well as to determine the reasonableness of any plans that have been designed by the process owners.

In the initial data request information ask for the process owner to confirm what plans have been implemented to ensure business continuity in the event of a natural or man-made disaster. Review that non-I/T process elements have been adequately considered in the BCP.

The following list of questions has been designed based on the BPBC127 Guideline for Business Process - Area Business Continuity Planning:

1. Has management assessed the risk to business continuity (BC) and identified the key business processes and activities that require formal business continuity planning based on impact to the business.
 - Identification and prioritization of business processes' activities in addition to prioritization done through by the Enterprise Process Owner (level 3 plans)
 - Understanding and documentation of the potential impact (financial, operational and reputation) to IBM from business disruptions from uncontrolled, non-specific events
 - Identification of the legal and regulatory requirements for the institution's business functions and processes
 - Review and approval from senior management

CLIENT FINANCING

AUDIT PROGRAM #11-20-00

CONTROL ASSESSMENT QUESTIONS

Key Control Question: 11. Business Continuity Planning

Secondary Test: Business Continuity Plan (BC001.S)

(Continued)

2. For critical business areas and processes, has the maximum acceptable outage (MAO) been established and considered in the BC plan?
 - Estimation of maximum allowable outage (MAO), based on the “acceptable level” of losses, associated with the institution's business functions and processes
 - Estimation of recovery time objectives (RTOs), recovery point objectives (RPOs), and Maximum Tolerable Downtime (MTD) of applications and supporting technology required for business operations
 - If applicable, recommended critical path recovery order
 - Reconciled with agreed IT recovery priorities (Business Criticality Values, RTO/MTD)
3. For business areas and processes where there is a business continuity risk, has the BC Plan been created, reviewed, and approved by management?
 - The organization shall establish documented procedures for responding to a disruptive incident and how it will continue or recover its activities within a predetermined timeframe
 - Top management shall review the organization's BCMS, at planned intervals, to ensure its continuing suitability, adequacy, and effectiveness
4. Does the Plan document the specific continuity and recovery actions for all four impact scenarios (workforce, workplace, IT, and regional) that will need to take place to mitigate risk to the business if the impact lasts longer than the documented business' maximum acceptable outage?
 - Flexible to respond to unanticipated threat scenarios and changing internal conditions
 - Focused on the impact of various threats that could potentially disrupt operations rather than on specific events
 - Effective in minimizing service disruptions and financial loss through the implementation of mitigation strategies
5. Does the BC plan clearly identify dependencies such as site resources, IT, suppliers, process interdependencies, partners, non-IT services and been reviewed and synchronized with the appropriate crisis management team?
 - An effective BCP coordinates across its many components, identifies potential process or system dependencies, and mitigates the risks from interdependencies
6. Is there an established, management-endorsed business continuity team to oversee the maintenance, invocation, and execution of the BC plan?
 - Defined roles and responsibilities for people and teams having authority throughout an incident
 - Additional teams as necessary to facilitate recovery execution per the chosen strategy
7. Are personnel aware and educated on the plan, strategy and roles?
 - Business continuity training should be an integral part of the BCM
 - Comprehensive training program should be developed for all employees, conducted at least annually, and kept up to date to ensure that everyone understands their current role in the overall recovery process
 - An audit trail should be maintained to document management's training efforts

CLIENT FINANCING AUDIT PROGRAM #11-20-00

CONTROL ASSESSMENT QUESTIONS

Key Control Question: 11. Business Continuity Planning

Secondary Test: Business Continuity Plan (BC001.S)

(Continued)

8. Is there a regularly executed process for validating the Plan through tests including key elements such as people, technology (data, systems, applications, and telecommunications), and locations that house staff and technology to ensure fit for purpose and alignment with current risks?
 - Tests should be based on appropriate scenarios that are well planned with clearly defined aims and objectives that promote continual improvement
 - Produce formalized post-exercise reports that contain outcomes, recommendations, and actions to implement improvements and are reviewed with management
 - Tests are conducted at planned intervals and when there are significant changes within the organization or to the environment in which it operates
9. FOR COMMERCIAL CONTRACTS: Where IBM has customer contracts including business continuity planning, have BC plans been implemented in accordance with contractual obligations?

FOR CUSTOMERS WITH REGULATORY REQUIREMENTS: Does the plan accommodate and account for the any unique rigor or accommodations for the regulatory body.

- Adherence with contractual obligations contained in the IBM Responsibilities section of the Schedule or similar agreement. Including communication, recovery parameters, specialized technical designs.
- Special considerations to meet unique regulatory requirements (HIPAA – US Healthcare has unique wording on backup, protection, and availability of data).